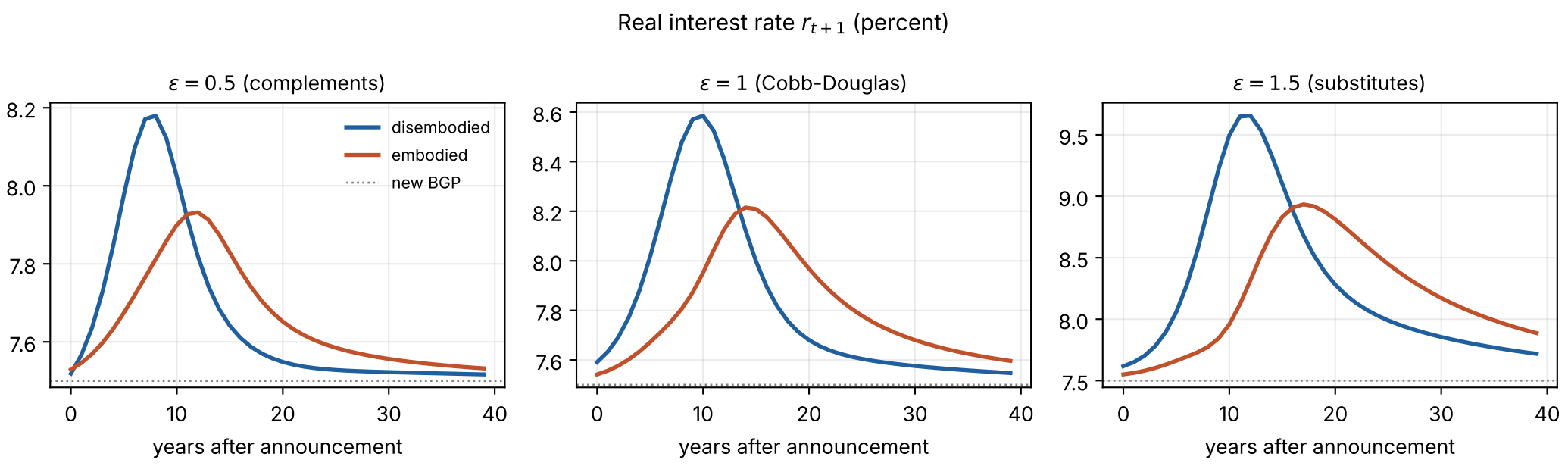
Real interest rate r_{t+1} (percent)
$\varepsilon = 0.5$ (complements)
$\varepsilon = 1$ (Cobb-Douglas)
$\varepsilon = 1.5$ (substitutes)
disembodied
embodied
new BGP
8.2
8.0
7.8
7.6
8.6
8.4
8.2
8.0
7.8
7.6
9.5
9.0
8.5
8.0
7.5
0
10
20
30
40
years after announcement